Supply Chain Performance Review — Q1 FY 2025-26

Meridian Components Pvt. Ltd. Automotive Electronic Control Units & Wiring Harnesses Registered Office: Chakan Industrial Area, Pune 410501 · Plants: Chakan (Pune) and Hosur (Tamil Nadu)

Review period: 1 April 2025 to 30 June 2025 · **Issued:** 18 July 2025 **Prepared by:** Supply Chain Analytics Cell · **Reviewed by:** Head of Procurement, Head of Logistics **Circulation:** Internal — Management Committee, Plant Heads, Category Managers · **Document ref:** MCPL/SCM/QR/2025-26/Q1

1. Executive summary

Quarter 1 of FY 2025-26 was a difficult quarter for inbound supply. Total procurement spend stood at ₹81.6 crore across the six primary suppliers, broadly in line with the plan of ₹79.4 crore. However, on-time delivery across the supplier base averaged 88.4% against a target of 95%, and incoming quality deteriorated to 480 defects per million parts against a target of 250.

Seven line-stoppage events were recorded across the two plants, costing 41 hours of production downtime and an estimated ₹1.9 crore in lost output. Four of the seven were caused by delayed microcontroller shipments from Shenzhen Rui Electronics, our single source for that part.

Inventory rose to ₹68.4 crore as of 30 June 2025 from ₹61.2 crore at the close of the previous quarter, driven largely by defensive buffer stock built up in May and June in response to the microcontroller situation. Inventory turns fell to 6.8 against a target of 8.0.

The single largest structural risk carried into Q2 is the absence of a second source for microcontrollers. Qualification of an alternate supplier is under way and is discussed in Section 8.

2. Supplier performance scorecard

Supplier	Category	Location	On-time delivery	Defect PPM	Avg lead time (days)	Q1 spend (₹ crore)
Nexa Polymers Ltd	Plastic housings	Vadodara, India	96.4%	320	18	12.4
Kaveri Metals Pvt Ltd	Stamped contacts	Coimbatore, India	88.1%	1,150	22	8.7
Shenzhen Rui Electronics	Microcontrollers	Shenzhen, China	79.5%	210	46	21.9
Baltic Wire GmbH	Copper wire	Bremen, Germany	93.7%	90	38	15.2
Sunrise Connectors	Connectors	Chennai, India	98.2%	140	12	6.1
Trident Circuit Boards	Printed circuit boards	Penang, Malaysia	84.6%	640	34	17.3
Weighted average / total			**88.4%**	**480**	**31**	**81.6**

Notes on the scorecard:

- **Shenzhen Rui Electronics** remains our highest-spend supplier at ₹21.9 crore and simultaneously our worst performer on delivery at 79.5%. This is the second consecutive quarter in which its on-time delivery has fallen below 85%; Q4 FY 2024-25 closed at 83.2%.
- **Kaveri Metals** shipped three lots rejected for burr formation on stamped contacts during May 2025. A containment sort was carried out at our Chakan incoming dock at the supplier's cost, and 100% inspection remains in force.
- **Trident Circuit Boards** shipped boards with solder-mask misregistration in the April and June batches. The supplier has accepted the finding and attributes it to a change of photoresist chemistry at its Penang line.
- **Sunrise Connectors** is the only supplier to have met every target for four consecutive quarters and has been recommended for the Supplier of the Year shortlist.

3. Logistics and freight performance

Lane	Mode	Avg transit (days)	Cost per shipment (₹)	On-time arrival
Shenzhen → Nhava Sheva → Chakan	Ocean FCL	26	4,85,000	76%
Shenzhen → Chennai (expedite)	Air	4	11,20,000	94%
Bremen → Nhava Sheva → Chakan	Ocean LCL	31	2,95,000	88%
Penang → Chennai → Hosur	Ocean FCL	19	3,40,000	85%
Coimbatore → Chakan	Road FTL	3	62,000	91%
Vadodara → Chakan	Road FTL	2	38,000	97%

Total inbound freight spend for the quarter was ₹6.42 crore against a budget of ₹5.10 crore, an overrun of 25.9%. The overrun is almost entirely explained by nine emergency air shipments from Shenzhen taken in May and June to protect production, at roughly 2.3 times the per-shipment cost of ocean freight.

Customs clearance at Nhava Sheva averaged 6.4 days against a historical norm of 3.5 days. One consignment of microcontrollers was held for 9 days in May pending a classification query, which directly caused two of the seven line stoppages recorded in Section 5.

4. Inventory position

Metric	31 Mar 2025	30 Jun 2025	Target
Raw material cover (days)	36	42	35
Work in progress (days)	5	6	5
Finished goods cover (days)	16	18	15
Total inventory value (₹ crore)	61.2	68.4	58.0
Inventory turns (annualised)	7.6	6.8	8.0
Slow-moving and obsolete provision (₹ crore)	1.7	2.1	—

The increase of ₹7.2 crore in inventory value is attributed to three factors: buffer stock of microcontrollers built in June (₹4.1 crore), higher copper wire holding following a price increase (₹1.8 crore), and slower finished-goods offtake in June owing to a customer plant shutdown (₹1.3 crore).

The slow-moving and obsolete provision rose to ₹2.1 crore. Of this, ₹0.9 crore relates to connector variants for a programme discontinued by the customer in January 2025, which have now had no movement for more than 365 days.

5. Line stoppages and disruption events

Seven line-stoppage events were recorded, totalling 41 hours of downtime and an estimated production loss of ₹1.9 crore.

#	Date	Plant	Duration (hrs)	Root cause
1	22 Apr 2025	Chakan	4	Microcontroller shortage — vessel roll-over at Shenzhen
2	09 May 2025	Chakan	11	Microcontroller shortage — 9-day customs hold at Nhava Sheva
3	14 May 2025	Hosur	3	PCB lot rejected at incoming inspection (Trident)
4	27 May 2025	Chakan	6	Microcontroller shortage — partial shipment received
5	06 Jun 2025	Chakan	5	Transporter strike, Coimbatore–Pune corridor
6	17 Jun 2025	Hosur	8	PCB lot rejected at incoming inspection (Trident)
7	25 Jun 2025	Chakan	4	Microcontroller shortage — allocation shortfall from supplier

Four of the seven events (22 hours of the 41) trace back to microcontroller supply from Shenzhen Rui Electronics. Two events (11 hours) trace to printed circuit board quality from Trident Circuit Boards. One event (5 hours) was caused by an external transport disruption outside supplier control.

6. Quality performance

Incoming defect rate for the quarter was 480 parts per million against a target of 250 PPM. Cost of poor quality attributable to incoming material was ₹0.74 crore, comprising rework of ₹0.41 crore, sorting and containment of ₹0.19 crore, and scrap of ₹0.14 crore.

Two suppliers accounted for 86% of all incoming defects by count: Kaveri Metals at 1,150 PPM and Trident Circuit Boards at 640 PPM. Both suppliers have been placed under 100% incoming inspection. Supplier corrective action reports were requested from both; Kaveri responded within the required window, Trident's response was received 11 days late.

7. Demand and planning accuracy

Month	Forecast (ECU units)	Actual (ECU units)	Variance
April 2025	1,35,000	1,42,000	+5.2%
May 2025	1,44,000	1,58,000	+9.7%
June 2025	1,62,000	1,31,000	−19.1%

Forecast accuracy measured as mean absolute percentage error was 23% for the quarter against a target of 15%. The June miss was driven by an unannounced two-week shutdown at a major customer's Pune assembly plant, communicated to us only five working days in advance.

8. Actions committed for Q2 FY 2025-26

#	Action	Owner	Target date
1	Complete qualification of Anh Long Semiconductors (Hai Phong, Vietnam) as second source for microcontrollers	Category Manager — Electronics	30 Sep 2025
2	Shift 30% of Shenzhen microcontroller volume to air freight on a planned basis until dual sourcing is live	Head of Logistics	15 Aug 2025
3	Conduct on-site supplier development visit at Kaveri Metals, Coimbatore, focused on die maintenance	Supplier Quality Lead	22 Aug 2025
4	Issue formal improvement plan request to Trident Circuit Boards	Category Manager — Electronics	05 Aug 2025
5	Introduce weekly sales and operations planning call with the top three customers	Head of Planning	01 Aug 2025
6	Reduce raw material cover from 42 days to 38 days by end of Q2 without increasing stoppage risk	Head of Planning	30 Sep 2025
7	Complete customs classification ruling application for microcontroller HS code	Trade Compliance Officer	12 Sep 2025

9. Risks carried into Q2

1. **Single source for microcontrollers.** Shenzhen Rui Electronics currently supplies 100% of our microcontroller requirement. Any extended disruption at that supplier halts ECU production entirely. This is our highest-rated supply risk and remains open until Action 1 completes.
2. **Port congestion.** Congestion at Nhava Sheva and lengthened customs clearance times are adding an average of 2.9 days to every ocean import lane.
3. **Copper price.** Copper prices are up approximately 14% year on year, putting pressure on wire harness margins. Baltic Wire GmbH has signalled a price revision request effective from October 2025.
4. **Regulatory change.** A revised Bureau of Indian Standards certification requirement for certain imported electronic components takes effect in October 2025. Compliance readiness for the microcontroller category has not yet been confirmed by either the incumbent or the alternate supplier.
5. **Customer concentration.** Our three largest customers account for 71% of quarterly revenue. The June shutdown demonstrated how quickly a single customer's schedule change flows through to our inventory position.